Income in the United States: 2023

INTRODUCTION

The U.S. Census Bureau collects data and publishes estimates on income, earnings, and inequality in order to evaluate national economic trends and to understand their effect on the well-being of households, families, and individuals.

The estimates in this report are based on data collected in the 2024 and earlier Current Population Survey Annual Social and Economic Supplements (CPS ASEC) conducted by the Census Bureau.* This report presents estimates on income in the United States for calendar year 2023. Historical estimates are expressed in real or 2023 dollars to account for the change in the cost of living over time.[1] The current method for inflation-adjustment is based on the Chained Consumer Price Index for all Urban Consumers (C-CPI-U) between 2000 and 2023 and the Consumer Price Index for all Urban Consumers Retroactive Series (R-CPI-U-RS) prior to 2000.[2] The C-CPI-U measured a 4.0 percent increase in consumer prices between 2022 and 2023, down from a 7.7 percent increase between 2021 and 2022.

* The Census Bureau reviewed this data product to ensure appropriate access, use, and disclosure avoidance protection of the confidential source data used to produce this product (Data Management System [DMS] number: P-7534374, Disclosure Review Board [DRB] approval number: CBDRB-FY24-0434). To further protect respondent privacy, all estimates in this report have undergone additional rounding. As a result, this year's estimates may differ from previous publications and details may not sum to totals. All comparative statements have undergone statistical testing and are statistically significant at the 90 percent confidence level unless otherwise noted.

This report begins with a section discussing median household income, highlighting year-to-year comparisons by characteristics such as race and Hispanic origin, nativity, region, and education. This is followed by sections on income inequality, workers, and median earnings. The income estimates in the main sections of this report are based on the concept of money income, which is pretax and does not account for the value of in-kind transfers. Estimates of post-tax income and inequality are included in Appendix B.

This report is released alongside two other reports focused on poverty estimates and health insurance coverage in the United States. For poverty and health insurance estimates, refer to "Poverty in the United States: 2023" and "Health Insurance Coverage in the United States: 2023."[3]

Highlights

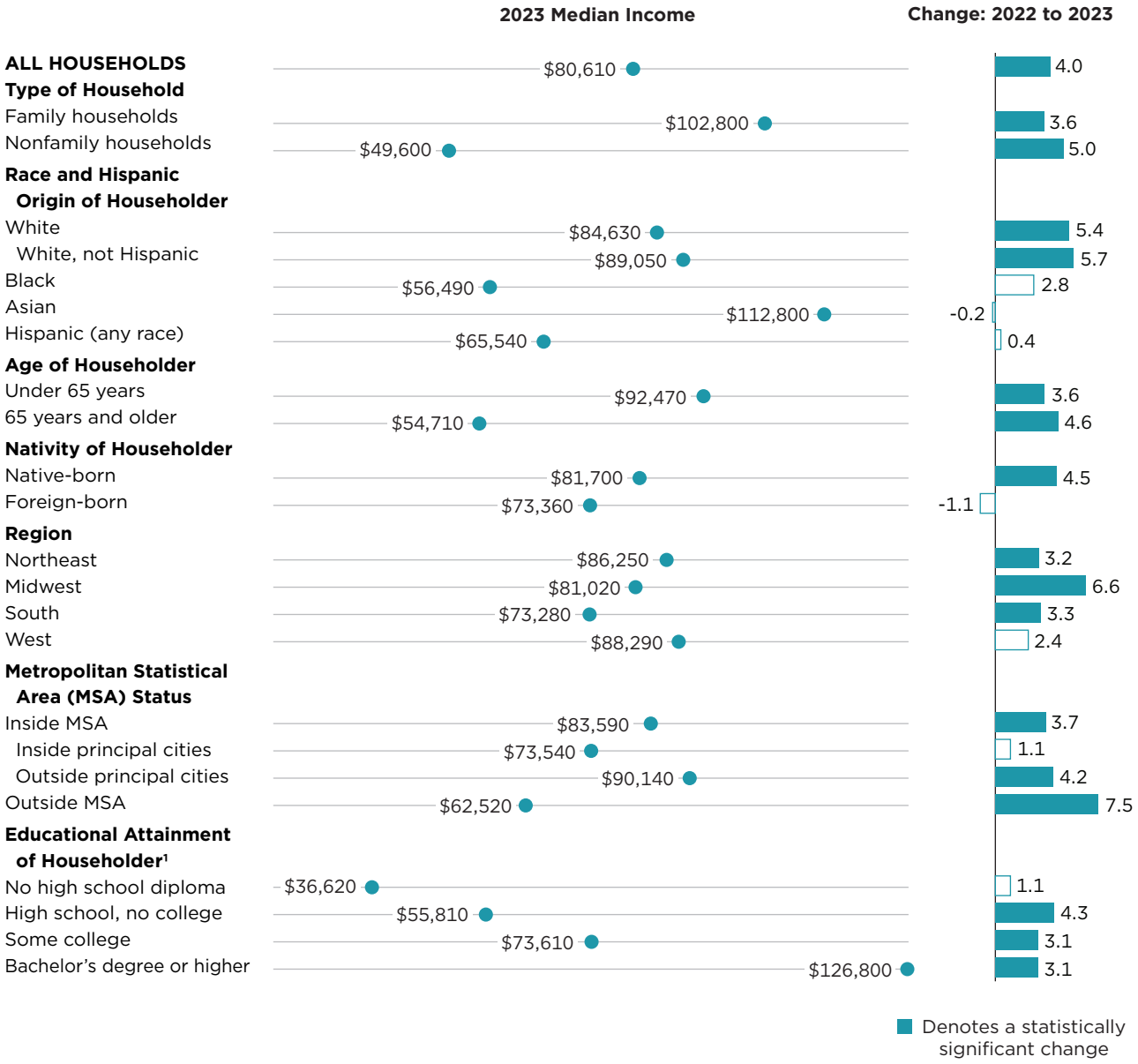
- Real median household income was $80,610 in 2023, a 4.0 percent increase from the 2022 estimate of $77,540 (Figure 1 and Table A-1). This is the first statistically significant annual increase in real median household income since 2019.[4]
- Real median household incomes increased by 5.4 percent for White households and by 5.7 percent for non-Hispanic White households between 2022 and 2023. There was no significant change in median incomes for Black, Asian, and Hispanic households (Figure 2 and Table A-1).
- Household income rose throughout the income distribution, increasing 6.7 percent at the 10th percentile and 4.6 percent at the 90th percentile (Table A-3).
- Income inequality as measured by the Gini index and income percentile ratios was not significantly different between 2022 and 2023 (Figure 3 and Table A-3).
- Between 2022 and 2023, the number of total workers increased by 2.2 million, or 1.3 percent. The change in the number of full-time, year-round workers was not statistically significant (Figure 5 and Table A-6).
- Real median earnings for men who worked full-time, year-round increased by 3.0 percent, and real median earnings increased 1.5 percent for women who worked full-time, year-round (Figure 4 and Table A-6).
- For full-time, year-round workers, the female-to-male earnings ratio in 2023 fell to 82.7 percent from 84.0 percent in 2022 (Figure 6 and Table A-6). This is the first statistically significant annual decrease in the female-to-male earnings ratio since 2003.

HOUSEHOLD INCOME BY SELECTED CHARACTERISTICS

This section focuses on median household income by selected characteristics of the householder, including race and Hispanic origin, nativity, region, and education. The householder is the person (or

Figure 1.

Median Household Income and Percent Change by Selected Characteristics



[1] Householders aged 25 and older. In 2023, the median household income for this group was $82,010.

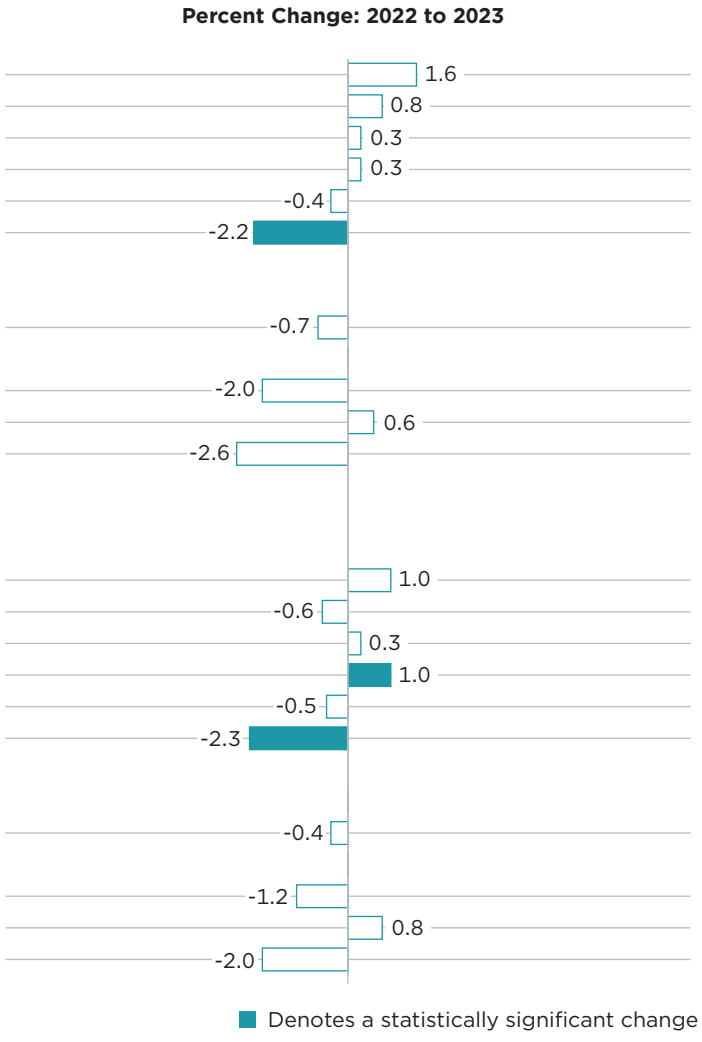
Note: Households as of March of the following year. Percent change estimate may be different due to rounded components. Statistically significant indicates the change is statistically different from zero at the 90 percent confidence level. Margins of error and other related estimates and notes are available in Table A-1. Information on confidentiality protection, sampling error, nonsampling error, and definitions is available at <https://www2.census.gov/programs-surveys/cps/techdocs/cpsmar24.pdf>.

Source: U.S. Census Bureau, Current Population Survey, 2023 and 2024 Annual Social and Economic Supplements (CPS ASEC).

Figure 3.

Income Distribution Measures and Percent Change Using Money Income and Equivalence-Adjusted Income

	2022	2023
MONEY INCOME		
Share of Aggregate Income by Percentile		
Lowest quintile	3.0	3.1
Second quintile	8.2	8.3
Third quintile	14.0	14.1
Fourth quintile	22.5	22.6
Highest quintile	52.1	51.9
Top 5 percent	23.5	23.0
Summary Measures		
Gini index of income inequality	0.488	0.485
Income percentile ratios:		
90th/10th	12.63	12.38
90th/50th	2.90	2.91
50th/10th	4.36	4.25
EQUIVALENCE-ADJUSTED INCOME		
Share of Aggregate Income by Percentile		
Lowest quintile	3.5	3.5
Second quintile	9.1	9.1
Third quintile	14.6	14.6
Fourth quintile	22.1	22.4
Highest quintile	50.7	50.4
Top 5 percent	22.9	22.4
Summary Measures		
Gini index of income inequality	0.467	0.465
Income percentile ratios:		
90th/10th	10.35	10.22
90th/50th	2.71	2.73
50th/10th	3.82	3.74



Note: Percent change estimate may be different due to rounded components. Statistically significant indicates the change is statistically different from zero at the 90 percent confidence level. Margins of error and other related estimates are available in Table A-3. Information on confidentiality protection, sampling error, nonsampling error, and definitions is available at <https://www2.census.gov/programs-surveys/cps/techdocs/cpsmar24.pdf>.

Source: U.S. Census Bureau, Current Population Survey, 2023 and 2024 Annual Social and Economic Supplements (CPS ASEC).

Percentile income ratios, particularly of the 10th, 50th, and 90th percentiles of the overall income distribution, are widely used to provide additional information about changes in income inequality.[26] The ratio of the 90th to 10th percentile was 12.38 in 2023, meaning income at the 90th percentile was 12.38 times higher than income at the 10th percentile and not statistically different from the 2022 ratio (12.63). The ratio of the 90th to 50th percentile (referred to as "upper-tail" inequality) and the ratio of the 50th to 10th percentile ("lower-tail" inequality) were not significantly different between 2022 and 2023.[27] Table A-4a provides the income for each decile and household income ratios at selected percentiles for income years 1967 to 2023.

The quintile shares of aggregate household income provide additional information about how income is distributed across the population. A quintile is one of five equal groups ranked by income from lowest to highest, so that 20 percent of all households are in each group. In 2023, households in the lowest quintile received 3.1 percent of aggregate household income, while households in the highest quintile received 51.9 percent of aggregate household income (Figure 3). Within the highest quintile, the top 5 percent of households received 23.0 percent of aggregate household income. Between 2022 and 2023, the changes in the share of aggregate household income were not statistically significant in each quintile. The share of aggregate income for the top 5 percent of households decreased 2.2 percent between 2022 and 2023.[28]

In 2023, households in the lowest quintile had incomes of $33,000 or less. Households in the second quintile had incomes as high as $62,200; those in the third quintile had incomes as high as $101,000; and those in the fourth quintile had incomes as high as $165,300. Households in the highest quintile had incomes higher than $165,300. The top 5 percent of households in the income distribution had incomes of $316,100 or higher. Table A-4b provides quintile measures, as well as the Gini index, MLD, Theil index, and Atkinson measures, for income years 1967 to 2023.

Equivalence-Adjusted Income Inequality[29]

Another way to measure income inequality is to replace money income with an equivalence-adjusted income estimate that takes into consideration the number of people living in the household and how those people share resources and benefit from economies of scale. For example, the distribution based on money income treats a household income of $30,000 the same regardless of whether one person or four people live in the household. In contrast, the equivalence-adjusted income would be the same for a single-person household with an income of $30,000 and a household with two married adults and two children and an income of nearly $65,000. The equivalence adjustment used here is based on the equivalence scale used in the Supplemental Poverty Measure (SPM).

This section presents the same inequality measures as the prior section but using equivalence-adjusted income. These equivalence-adjusted income inequality measures are summarized in Figure 3 and Table A-3.

For both 2022 and 2023, the Gini index was lower when based on an equivalence-adjusted income estimate (0.467 in 2022 and 0.465 in 2023) than on the traditional money-income estimate (0.488 in 2022 and 0.485 in 2023), suggesting a more equal income distribution when household composition is taken into account. Generally, the income shares in the lowest, second, and third quintiles are higher with equivalence-adjusted income than money income, while the reverse is true for the fourth and highest quintiles. This redistribution reflects the higher concentration of single-person households and smaller household sizes at the lower end of the income distribution. The change in the equivalence-adjusted Gini index between 2022 and 2023 was not statistically significant.[30]

Table A-2.

Households by Total Money Income, Race, and Hispanic Origin of Householder: 1967 to 2023

(Income in 2023 dollars, adjusted using the C-CPI-U (2000–2023) and R-CPI-U-RS (pre-2000). Households as of March of the following year. Information on confidentiality protection, sampling error, nonsampling error, and definitions is available at <https://www2.census.gov/programs-surveys/cps/techdocs/cpsmar24.pdf>)

Race and Hispanic origin of householder and year[1]	Number (thousands)	Percent distribution										Median income (dollars)		Mean income (dollars)	
		Total	Under $15,000	$15,000 to $24,999	$25,000 to $34,999	$35,000 to $49,999	$50,000 to $74,999	$75,000 to $99,999	$100,000 to $149,999	$150,000 to $199,999	$200,000 and over	Estimate	Margin of error[2] (±)	Estimate	Margin of error[2] (±)
ALL RACES															
2023	132,200	100	7.4	6.7	6.9	10.3	15.7	12.1	17.0	9.5	14.4	80,610	634	114,500	1,098
2022	131,400	100	8.1	7.2	7.4	10.4	15.9	12.2	16.7	9.3	12.9	77,540	1,006	110,600	1,075
2021	131,200	100	8.1	7.4	7.2	9.9	15.3	11.9	16.4	9.3	14.4	79,260	678	114,600	1,153
2020[3]	129,200	100	7.6	7.4	6.8	10.6	15.2	12.3	16.5	9.3	14.2	79,560	1,030	114,000	1,227
2019	128,500	100	7.3	7.0	6.7	10.6	15.5	11.9	17.1	9.4	14.6	81,210	1,069	115,900	1,232
2018	128,600	100	8.3	7.5	7.2	10.9	15.8	12.5	16.6	9.0	12.3	75,790	829	108,000	1,077
2017[4]	127,700	100	8.4	7.8	7.5	11.3	15.5	12.1	16.3	8.7	12.5	74,810	647	107,300	1,148
2017	127,600	100	8.4	7.8	7.6	11.3	15.2	12.2	16.4	9.0	12.1	75,100	674	105,500	1,047
2016	126,200	100	8.6	7.8	7.8	11.4	15.8	12.3	16.3	8.6	11.5	73,520	893	103,500	961
2015	125,800	100	8.4	8.3	8.6	11.3	15.4	12.3	16.3	8.9	10.5	71,000	663	99,580	833
2014	124,600	100	9.3	8.7	8.8	11.5	15.9	12.4	15.4	8.3	9.8	67,360	810	95,080	921
2013[5]	123,900	100	9.2	8.9	8.7	11.1	15.8	12.7	15.6	8.0	9.8	68,220	1,370	95,740	1,391
2013[6]	123,000	100	9.1	9.3	8.5	11.8	16.4	12.8	15.5	7.9	8.7	66,130	578	92,490	1,045
2012	122,500	100	9.1	9.2	9.1	11.9	16.3	12.6	15.6	7.8	8.4	65,740	443	91,850	892
2011	121,100	100	9.3	8.9	9.1	12.4	16.4	12.6	15.2	7.8	8.4	65,750	542	91,520	795
2010[7]	119,900	100	9.3	9.0	8.8	11.7	16.6	12.3	15.9	7.8	8.6	66,730	724	91,270	802
2009[8]	117,500	100	8.5	8.6	9.0	11.9	16.4	12.8	16.2	7.8	8.8	68,340	481	93,320	549
2008	117,200	100	8.4	8.7	8.8	11.8	16.2	12.7	16.6	8.0	8.8	68,780	308	93,560	544
2007	116,800	100	8.0	8.6	8.0	11.8	16.3	12.8	16.9	8.4	9.1	71,210	326	95,840	550
2006	116,000	100	8.1	8.3	8.2	11.8	17.1	12.4	16.7	8.2	9.2	70,080	495	96,780	615
2005	114,400	100	8.5	8.5	8.2	11.8	17.0	12.7	16.5	8.1	8.8	69,310	381	94,770	588
2004[9]	113,300	100	8.4	8.9	8.3	12.2	16.2	13.0	16.5	8.1	8.4	68,250	496	93,080	577
2003	112,000	100	8.4	8.9	8.4	11.7	16.4	12.9	16.5	8.3	8.4	68,350	488	93,200	561
2002	111,300	100	8.3	8.8	8.1	12.1	16.5	12.9	16.9	8.2	8.1	68,310	368	93,190	575
2001	109,300	100	8.0	8.7	8.2	11.9	16.8	13.2	16.8	8.1	8.4	68,870	346	94,930	622
2000[10]	108,200	100	7.7	8.3	8.2	11.5	17.2	13.1	17.5	8.0	8.6	70,020	362	95,280	617
1999[11]	106,400	100	7.6	8.4	8.6	11.5	17.1	13.0	17.4	8.1	8.3	70,210	539	94,430	806
1998	103,900	100	8.4	8.6	8.1	12.0	17.2	13.4	17.0	7.7	7.5	68,470	666	91,310	811
1997	102,500	100	8.7	9.0	8.6	12.2	17.3	13.5	16.5	7.3	6.9	66,050	502	88,690	816
1996	101,000	100	8.9	9.4	8.9	12.5	17.3	13.4	16.7	6.7	6.3	64,710	537	85,910	792
1995[12]	99,630	100	9.0	9.4	9.0	12.4	18.1	13.5	16.1	6.7	5.8	63,770	606	84,090	757
1994[13]	98,990	100	9.5	9.9	9.2	12.8	17.5	13.4	15.7	6.3	5.8	61,800	463	82,620	731
1993[14]	97,110	100	10.0	9.8	8.9	13.0	17.9	13.2	15.5	6.3	5.4	61,150	470	81,090	721
1992[15]	96,430	100	9.9	9.8	9.1	12.3	18.3	13.6	16.0	6.1	4.9	61,450	478	77,910	538
1991	95,670	100	9.7	9.4	8.9	12.7	18.4	14.0	15.7	6.3	4.9	61,960	491	78,000	528
1990	94,310	100	9.4	9.0	8.7	12.6	18.8	14.1	16.1	6.3	5.1	63,830	536	79,730	554

Footnotes provided at end of table.